

UK Sustainable Aviation Fuel Policy & Aerospace Industrial Strategy

Political and Commercial Risk Briefing

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EXECUTIVE SUMMARY

The UK's Sustainable Aviation Fuel (SAF) Mandate and the aerospace strand of the Modern Industrial Strategy are entering their most consequential year since launch. The Sustainable Aviation Fuel Act 2026 came into force in May, establishing the legal basis for a Contracts-for-Difference-style Revenue Certainty Mechanism (RCM) intended to de-risk domestic SAF production; government aims to have the full legislative package and a first allocation round in place by the end of 2026, though no date is yet confirmed. In parallel, a live consultation on whether to admit cheaper crop-based feedstocks into the Mandate — driven partly by post-trade-deal pressure from US biofuel exporters — has set industry and environmental groups against each other over the scheme's design. All of this is now being inherited by a government under new leadership: Keir Starmer resigned as Prime Minister on 20 July 2026 after a sustained internal Labour crisis, and Andy Burnham has since reshuffled the Cabinet, retaining the Transport Secretary but replacing the Business and Trade Secretary and dissolving the Department for Science, Innovation and Technology into an expanded Business and Trade brief. For manufacturers with a direct, existing stake in UK SAF and aerospace industrial policy — Boeing among them, through Boeing Sheffield, its AMRC partnership, its founding role in the University of Sheffield's Sustainable Aviation Fuels Innovation Centre and the COMPASS facility that opened in July 2026 — the coming twelve months carry both funding opportunity and genuine delivery risk.

POLICY LANDSCAPE

SAF Mandate. Introduced 1 January 2025. The main obligation rises from 2% of UK jet fuel in 2025 to 10% by 2030 and 22% by 2040; a separate Power-to-Liquid (synthetic fuel) sub-obligation begins at 0.2% in 2028, rising to 3.5% by 2040. Suppliers meet the obligation with tradeable SAF certificates or a buy-out (£0.137/MJ main obligation, £0.145/MJ PtL obligation). A cap on HEFA (used cooking oil and fat-derived fuel) is currently uncapped, falling to 92% in 2027, 74.7% by 2030 and 42% by 2040 — the mechanism designed to push supply toward non-HEFA pathways over time.

Revenue Certainty Mechanism (RCM). The Sustainable Aviation Fuel Act 2026's core provisions came into force on 5 May 2026, establishing CfD-style “revenue certainty contracts” (up to 15-year terms) between SAF producers and a government-owned counterparty, funded by a levy on aviation fuel suppliers. Indicative Heads of Terms were published 12 January 2026 and the consultation closed 3 April 2026, but much of the commercial detail remains in secondary legislation. Government's own target is to complete the legislative package and launch the first allocation round (SAF AR1) by the end of 2026 — with no date yet confirmed.

Advanced Fuels Fund. £63 million allocated for 2025–26 to support UK SAF production capacity, sitting inside the wider Advanced Manufacturing Sector Plan.

Modern Industrial Strategy / Advanced Manufacturing Sector Plan. Published 23 June 2025, naming aerospace one of six priority sub-sectors. Targets include raising UK global aerospace market share from 10% to 15% by 2050 and securing at least £35 billion of additional private investment; the Aerospace Technology Institute (ATI) programme was extended with up to £2.3 billion to 2035, and a 2025 UK–US trade agreement removed tariffs on UK-manufactured aerospace parts and engines.

Live flashpoint. In June 2026 the Department for Transport opened a further Call for Evidence on whether to allow crop-based, not only waste-derived, feedstocks into the Mandate — widely read as a response to lobbying following the 2025 UK–US trade deal, which opened the UK market to US bioethanol. Environmental groups (Transport & Environment, the SASHA Coalition) oppose loosening the criteria, arguing it would undercut both scheme credibility and investment in the waste-based and e-fuel pathways the RCM exists to support.

STAKEHOLDER MAP

Actor	Role in this policy area
Department for Transport	Owns the SAF Mandate and RCM. Secretary of State Heidi Alexander MP, retained through the July 2026 reshuffle. Minister for Aviation, Maritime and Logistics Keir Mather MP holds direct day-to-day responsibility for SAF policy.
Department for Business and Trade	Owns the Modern Industrial Strategy and Advanced Manufacturing Sector Plan. Secretary of State Jonathan Reynolds MP, reappointed by PM Burnham on 21 July 2026 into an expanded department that absorbed the former Department for Science, Innovation and Technology.
HM Treasury	Underwrites Advanced Fuels Fund spend and RCM contract risk. Chancellor John Healey, appointed 21 July 2026 — a move from the Defence brief that surprised most Westminster commentary.
Transport Committee	Chaired by Ruth Cadbury MP (Labour). Scrutinises DfT delivery of the Mandate and RCM, and is the natural venue for evidence on allocation-round design.
Business and Trade Committee	Chaired by Liam Byrne MP (Labour). Scrutinises Industrial Strategy delivery; has already pressed the Department publicly over its response to US tariff measures.
Sustainable Aviation / ADS Group	Principal industry coalitions for SAF and aerospace policy respectively. ADS has publicly welcomed the Industrial Strategy's ATI funding commitment.
Boeing UK footprint	Boeing Sheffield (Boeing's first European manufacturing site, 2018); founding AMRC partner since 2001; founding member of the University of Sheffield's SAF-focused Energy Innovation Centre since 2022; lead industry partner and first user of the £54m COMPASS composites facility (£29.5m ATI grant), opened July 2026. Boeing's global commitment to certify aircraft for 100% SAF by 2030 gives it a direct commercial stake in RCM and HEFA-cap design.
Transport & Environment / SASHA Coalition	Oppose loosened feedstock eligibility; want RCM support ring-fenced for genuinely low-carbon, non-HEFA pathways and shielded from taxpayer cost.

POLITICAL & POLICY TIMELINE

Date	Development
Jul 2022	Boeing becomes founding member of the University of Sheffield's SAF-focused Energy Innovation Centre.
Jan 2025	SAF Mandate obligation begins at 2%.
Jun 2025	Modern Industrial Strategy and Advanced Manufacturing Sector Plan published; Advanced Fuels Fund (£63m, 2025–26) confirmed.
Dec 2025	DfT call for evidence on crop-derived SAF feedstocks opens.
Jan 2026	DfT publishes indicative Heads of Terms for the RCM; consultation opens.
Apr 2026	RCM consultation closes.
5 May 2026	Sustainable Aviation Fuel Act 2026 core provisions come into force.
Jun 2026	DfT opens further Call for Evidence on non-HEFA supply and the 2027 HEFA cap design.
16 Jul 2026	COMPASS composites facility opens at AMRC Sheffield; Boeing's IHSS programme is first user.
20 Jul 2026	Andy Burnham becomes Prime Minister after Starmer's resignation; Cabinet reshuffled within the week.

Date	Development
H2 2026 (tbc)	Targeted completion of RCM legislative package and SAF Allocation Round 1 (AR1) — no confirmed date.
2027	HEFA cap first reduces to 92%.

POLITICAL RISK ASSESSMENT

- 1. Delivery risk on the RCM.** The RCM is the mechanism meant to bridge a £63m public fund and a £35bn private investment target. Its legal framework only reached force in May 2026, most commercial detail remains in secondary legislation, and government's own AR1 target has no confirmed date. Comparable UK CfD-style schemes (electricity CfDs, the low-carbon hydrogen business model) have typically seen delivery slip between primary legislation and first contract award; this timetable compresses that gap into a single calendar year.
- 2. The feedstock fight as the live fault line.** The June 2026 Call for Evidence puts government between two organised constituencies: trade-deal-linked pressure to widen feedstock eligibility (lowering short-term compliance costs for airlines and fuel suppliers) against an environmental coalition defending the Mandate's credibility. How this is resolved will shape which SAF pathways — and which producers — the RCM ultimately rewards.
- 3. Continuity risk under new leadership.** Andy Burnham inherits the Industrial Strategy and SAF Mandate as established policy rather than something he personally authored. Retaining the Transport Secretary and reappointing the Business and Trade Secretary points toward short-term continuity, but the scale of the wider reshuffle — a new Chancellor, a dissolved department folded into an expanded Business and Trade brief — signals a government still settling its structure and priorities two months in.
- 4. Precedent value for Boeing specifically.** Because Boeing already has a structural stake in the outcome — Sheffield, AMRC, the Energy Innovation Centre, COMPASS — decisions on RCM contract allocation and the HEFA cap trajectory are not abstract policy questions for the company; they interact directly with existing UK investment and the credibility of its 2030 100%-SAF-capable commitment.

CALIBRATED FORECASTS

*Consistent with the Artemis Forecasting approach: base rates from comparable UK CfD-style scheme rollouts, adjusted for scheme-specific evidence, intended to be benchmarked against Good Judgment Open community forecasts once published. **These are a first-pass calibration, not a finished view — run them through your own reasoning and adjust before this goes live.***

Q1. Will the RCM's full legislative package be completed and SAF Allocation Round 1 launched by 31 December 2026?

Calibrated probability: 25%

Reasoning: Royal assent for the enabling Act only came in May 2026; most commercial detail (levy design, billing periods, Reference Price methodology) was still under consultation as of mid-2026, and comparable UK CfD-style schemes have historically taken longer than a single calendar year from primary legislation to first allocation round. No AR1 date has been confirmed in any source reviewed.

Q2. Will DfT amend the Mandate to permit a wider class of crop-based feedstocks into the Main Obligation

Calibrated probability: 46%

Reasoning: Trade-deal-linked pressure to widen eligibility is real and organised, but the Act's design so far has held a clear waste/PtL/RCF priority, and an organised NGO coalition is contesting any change publicly. A partial, capped concession looks more likely than a full reversal of the current eligibility criteria.

Q3. Will the Burnham government publish a formal refresh of the Modern Industrial Strategy or Advanced Manufacturing Sector Plan within 12 months of taking office (by 20 July 2027)?

Calibrated probability: 22%

Reasoning: Retaining/reappointing the relevant Secretaries of State points toward continuity as the path of least resistance early in a new premiership facing larger immediate pressures (economy, by-elections). Full sector-plan rewrites are resource-intensive and rare; incremental adjustment via the DSIT-into-DBT restructuring already under way looks more probable than a full published refresh.

Q4. Will the 2027 HEFA cap (92%) take effect on schedule without delay or transitional easement?

Calibrated probability: 74%

Reasoning: Written into the Mandate design with a long lead time, and reducing the cap is the main lever for shifting demand toward the pathways the RCM is meant to support — giving government a structural incentive to hold the line here even while the parallel feedstock-eligibility question remains contested.

RECOMMENDED ENGAGEMENT ACTIONS

- Prioritise the DfT Aviation, Maritime and Logistics team (Minister Keir Mather) and the Transport Committee (Chair Ruth Cadbury) ahead of the RCM secondary legislation window, where allocation-round design decisions affecting SAF producer eligibility will be made.
- Track the outcome of the June 2026 Call for Evidence closely; a shift on the HEFA cap or feedstock eligibility would directly affect which UK SAF supply chains are commercially viable partners.
- Use the Sheffield / AMRC / COMPASS relationship as a live case study when engaging the Business and Trade Committee on Advanced Manufacturing Sector Plan delivery — it is one of the plan's few named, spending-backed exemplars in aerospace.
- Re-establish direct contact with the reshuffled DBT and Treasury teams; a new Secretary of State and Chancellor in the same policy area is exactly the moment new relationships are most valuable and least contested.

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